

Subject Code	AF5110
Subject Title	Theory and Practice of Accounting in China
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	This subject aims to provide students with knowledge about Chinese accounting, auditing and corporate governance. It contributes to the achievement of the Programme Outcomes by enabling students to <u>develop expertise in accounting in China</u>. Students will be able to interpret the changing regulations and practices of accounting, corporate governance, auditing and ethics in China; analyze how the ongoing changes in financial reporting evolve with the developing institutions in China; and interpret and use financial information of listed Chinese companies for business decision-making (Outcome 5).
Intended Learning Outcomes	Upon completion of the subject, students will be able to: (a) <u>explain financial statements prepared according to the PRC Accounting Standards for Business Enterprises (ASBEs)</u>, and identify major differences in financial reporting between ASBEs and IFRSs / HKFRSs; (b) <u>analyze contemporary issues on published accounting information of Chinese companies</u>, including changes in accounting standards, corporate governance, stock market regulations, and managerial incentives to manage earnings; and (c) <u>interpret and analyze auditing practices and audit quality</u> from the perspectives of the business enterprises and the auditing profession, taking into consideration the changes in Chinese auditing standards, accounting standards, corporate governance, stock market regulations and ethical issues in auditing practices.
Subject Synopsis/ Indicative Syllabus	Financial Reporting Framework in China Outline of the Chinese accounting development, Accounting Law and other prevailing accounting regulations and scope of application, and accounting standards setting process. Accounting Harmonization Convergence of the new set of Accounting Standards for Business Enterprises (ASBEs) issued in 2006 toward international norms, and significant differences between ASBEs and IFRSs / HKFRSs.

	Individual Assignment – An essay requiring students to reflect upon selected auditing issues in China. Final examination – A comprehensive open-book examination in which students are required to analyze questions such as financial reporting, corporate governance and accounting reforms. <i>Note: In addition, the specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturer(s).</i>	
Student Study Effort Expected	Class contact:	
	▪ Lectures / Seminars	39 Hrs.
	Other student study effort:	
	▪ Class preparations, reading subject materials, preparing assignments and group discussions	78 Hrs.
	Total student study effort	117 Hrs.
Reading List and References	Textbook: Patrick P. H. Ng, Ng Eng Juan and Chris Lau, <i>China Master GAAP Guide</i>, 12th edition, Wolters Kluwer (HK). (ISBN: 9789887617112) References: CICPA, <i>Textbook for PRC CPA Uniform Examination – Accounting</i>, latest edition, China Finance & Economy Media Group. 中國註冊會計師協會, <i>中國註冊會計師統一考試輔導教材《會計》</i>, 最新版本, 中國財經出版傳媒集團. Other weekly reading materials will be recommended/ supplied for this course.	